

Rigetti Computing, Inc.

RGTI NASDAQ

Neutral\$25.07 ▼ 5.13%

12M Price Target\$22.00

52-Week Range\$10.30 – \$58.15

Market Cap\$8.33B

RGTI: Quantinuum IPO Validates Sector; Trim Into Strength, Neutral

WHAT'S CHANGED

- Stock printed a 65% two-day rip (5/20 \$16.88 → 5/22 \$26.42) on 350M+ combined volume, driven by US quantum funding headlines (IBD) before consolidating -5.1% today to \$25.07 on still-elevated 87.9M volume.
- Quantinuum filed for a \$1.05B US IPO overnight — a major comp-set validation event but also a near-term capital-allocation competitor and supply of fresh quantum equity float.

IMPLICATIONS

The Quantinuum IPO is a double-edged catalyst: it ratifies quantum as an institutionally-investable theme (supporting RGTI's ~\$8.3B market cap on <\$20M TTM revenue) but introduces a higher-quality, Honeywell-backed alternative that could siphon dedicated quantum capital once it lists. Today's -5% reversal on heavy volume after a parabolic week suggests fast-money distribution into the IPO news, and the proliferation of "RGTI vs QBTS / vs QUBT" comparison pieces (Zacks, Motley Fool) is a classic late-cycle retail signal. With Tech +6.2% over 5 days providing a beta tailwind, RGTI is trading more as a sector option than a fundamental story — the setup favors trimming strength rather than chasing.

VALUATION

At \$8.33B market cap on consensus FY26E revenue of ~\$18M, RGTI trades at ~460x EV/Revenue and ~260x FY27E — multiples that have no historical precedent outside pre-revenue biotech. Our \$22 base PT applies a still-generous ~350x FY27E EV/Sales, implying ~12% downside; bull case requires the market to capitalize a 2030 fault-tolerance TAM at venture-style multiples. Multiple contraction is the dominant risk vector as Quantinuum's IPO pricing will set a new public-market benchmark for quantum revenue multiples.

KEY RISKS

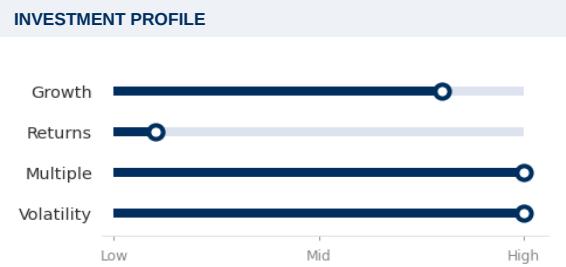
- Equity dilution: management has historically used ATM facilities into strength; >\$25 prints invite a raise.
- Technical milestone risk — Ankaa/Lyra qubit fidelity and error-correction targets remain unproven at scale vs. IBM/Google/Quantinuum.
- Sentiment unwind: retail-driven float with 30%+ short interest creates two-way gamma; Quantinuum IPO could redirect flows.

RECENT NEWS

Rigetti Computing vs. Quantum Computing: Which Quantum Tech Stock Is a Better Buy in 2026? Motley Fool · 2026-05-26 21:00

RGTI vs QBTS: Which Quantum Computing Stock Holds More Promise? Zacks · 2026-05-26 17:13

Key Data	
Price (USD)	\$25.07
12M Price Target	\$22.00
Upside / (Downside)	-12.2%
Market Cap	\$8.33B
FY2026E Revenue	\$18M
FY2027E Revenue	\$32M
FY2026E EPS	(\$0.28)
FY2027E EPS	(\$0.22)
Fwd P/E	N/M



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$32.00	\$24.00	\$17.00
6 Months	\$40.00	\$22.00	\$12.00
1 Year	\$50.00	\$22.00	\$10.00
2 Years	\$70.00	\$28.00	\$8.00
5 Years	\$150.00	\$45.00	\$5.00
10 Years	\$400.00	\$80.00	\$2.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology (+6.18% 5D), Industrials (+2.08% 5D)

COLD SECTORS: Comm. Services (-1.22% 5D), Real Estate (lagging on rates)

ROTATION WATCH: Capital flowing into deep-tech / frontier compute themes (quantum, AI infrastructure, defense tech) on US industrial policy tailwinds; watch for rotation out of mega-cap AI into speculative compute as Tech leadership broadens.

BYPRODUCT PLAY: Cryogenic supply chain (Bluefors-adjacent), specialty semiconductors for qubit control (FORM, COHR), and quantum-safe cryptography names benefit from rising quantum capex regardless of which platform wins.

OUTPERFORMERS & PEER CONTEXT

- QBTS (D-Wave Quantum): annealing-based revenue model generating materially higher run-rate sales than gate-based peers; commercial traction outpacing RGTI on near-term bookings.
- IONQ (IonQ): trapped-ion architecture with AWS/Azure distribution and larger contract backlog; consistently leads quantum peer multiples on revenue scale.

RGTI CONTEXT: RGTI has outperformed QBTS and IONQ over the past 5 sessions on a percentage basis but lags on fundamental revenue scale; the relative rip looks more short-squeeze and float-mechanics driven than fundamentals-led, increasing mean-reversion risk.

INVESTMENT STRATEGY

4/10 Conviction Score

Position Size: 0.5-1.5% speculative sleeve

Entry Points: \$14-17 on sector pullback

Time Horizon: 12-24 months around fault-tolerance milestones

Thesis Invalidation: Qubit fidelity roadmap slip, dilutive raise >15%, or DOE/DARPA contract loss

Hedging: Long IONQ or QBTS as pair; collar via Jun/Sep puts